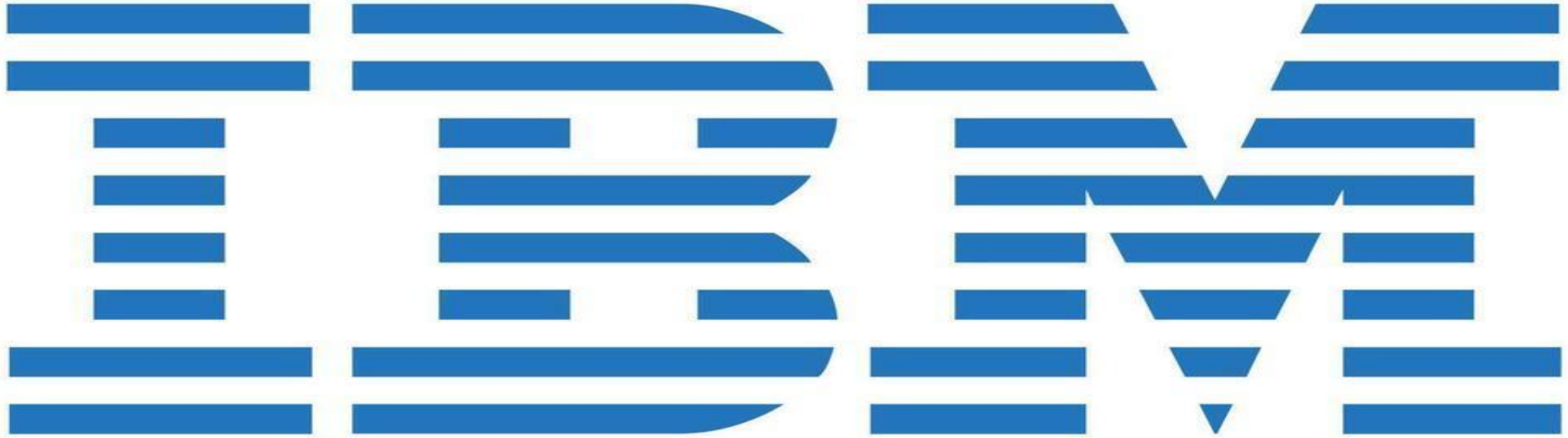
Dynamic Capabilities at IBM: Driving Strategy into Action

Leadership Model | Innovation | Driving Strategy into Action



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Gist of the Case

- IBM moved from selling hardware to solving customer problems through software, services and integrated solutions
- It studied customers, competitors and technology shifts before making strategic decisions
- Its direction stayed consistent, while plans and resource allocation changed with market conditions
- IBM connected strategy with execution by adjusting teams, skills, structures, incentives and culture
- New opportunities were tested through small experiments, EBOs and evidence-based Deep Dives
- Successful ideas received funding and were scaled, while weak opportunities could be revised or closed
- Line managers owned strategy with senior leadership support, creating an integrated and outcome-focused system

The IBM Business Leadership Model

IBM connects strategic insight with strategic execution. The process starts with a measurable business gap and is led by the line managers responsible for delivering the results.

The Trigger: A Gap
Performance Gap - Shortfall between expected and actual results
Opportunity Gap - Discrepancy between current results and what a new business design could achieve
Each gap has a clear owner, a financial metric that quantifies it and a specific time frame

Strategic insight: Sensing

- Strategic intent sets direction
- Marketplace insight tracks customers, competitors, technology and economics
- Innovation focus tests products, processes and business models
- Business design defines customer, value, scope and sustainability

Strategic execution: Seizing

- Critical tasks show what must be done
- Formal organisation sets structures, measures and rewards
- People and skills provide the capabilities
- Climate and culture support the work

Sensing and Seizing Mechanisms

Technology Team

IBM Fellows and Distinguished Engineers meet monthly to assess emerging technologies and, based on market readiness and strategic relevance, decide whether to accelerate investment, redirect a project, or stop it early.

Strategy Team

The Strategy Team meets monthly to review market shifts and business performance, recommending timely changes instead of waiting for the annual planning cycle.

Deep Dives

Deep Dives use evidence-based analysis to help cross-functional teams address performance gaps and decide whether to enter a market, change direction, or exit a business.

Emerging Business Opportunities

IBM gave new ventures separate leadership, funding, and operating rules, with monthly senior reviews protecting them from short-term pressures; between 1999 and 2005, it identified 18 EBOs, including Life Sciences, which grew to more than $2 billion in revenue

Corporate Investment Fund

IBM's $500 million Corporate Investment Fund financed cross-company initiatives outside normal business unit budgets, protecting promising projects from short-term budget cuts.

Strategic Leadership Forums (SLFs)

They were 3.5-day workshops where teams analyzed a specific business gap, agreed on its root causes, and developed an action plan with clear commitments.

Who does Strategy?

Career Planners: Old Model	**Line Managers: IBM's New Model**
Strategy was developed by Staff Specialists	Strategy to be owned by business leader closest to the market
IBM's strategy process was largely an **annual planning exercise** followed by the management review Strategy → Annual plan → Management review	New IBM transformed strategy from an **annual ritual into a continuous process** Sense → Decide → Act → Learn → Reconfigure → Repeat
Strategy had little connection with day-to-day execution	Line Managers usually sense market changes and opportunities
Planner challenged business-unit proposals, which often made managers defensive	Direct link between **strategy** → **action** → **results**
Created an **"us vs. them"** mindset	Empowered Ownership and accountability
They were more focused on producing strategy documents which were often created by **staff planners**, rather than the managers actually running the businesses	They focused on **solving performance/opportunity gaps of customers**

IBM placed strategy ownership with line managers because they understood the market and were responsible for execution. Senior leaders and the strategy group continued to provide oversight, analysis and support.

What has IBM done uniquely?

IBM’s uniqueness is not in any individual tool. Sensing and seizing mechanisms are all replicable by competitors on their own. What is hard to copy is the integrated way IBM links strategic insight to strategic execution, run by line managers instead of staff planners.

- **Strategy is for managers -** Two-third of IBM's strategy group is now line managers on 18-30 month rotations, not career planners who never ran a business. This shifted the group’s culture from academic to action-oriented
- **Continuous and not annual -** 25000+ general managers + technology and Strategy teams, meet monthly replacing the old “Spring Plan” annual ritual
- **Disciplined and Face based Discussions -** Every strategy is tied to a quantified performance or opportunity gap with a named owner and timeline
- **Real ambidexterity -** Mature businesses run as a “disciplined machine” while new ones are explored through EBOs, insulated from the normal budget cycle
- **Career strategists have no hidden agenda -** They have no designs on other jobs at IBM, so they can facilitate hard conversations focused purely on facts

Results

- Market Cap - Rose from $30B in 1993 -> $173B in 2001
- Services/Software Mix - Increased from 27% service only to 58% Services+Software
- Revenue - IBM revenue reached $91B with over 70% from software and services
- Emerging Business Opportunities Identified - Strategic emerging businesses launched 1999-2005 including Linux and Autonomic Computing
- Life Science Emerging Business Opportunities - Grew from inception in 1999 to over $2B in revenue
- Corporate Investment Fund - Supported cross-unit initiatives outside the annual budget cycle, including Service Oriented Architecture and executive talent